3.1.3 Incomes, interest rates, demographics and the environment

Unit 3.1 What is business? · 7 key points

- **Rising incomes:** demand for most products rises, especially luxuries
- **Inferior goods:** demand may fall as incomes rise
- **Higher interest rates:** higher borrowing costs for businesses and lower consumer spending, especially on credit
- **Demographic factors:** size and structure of the population, e.g. an ageing population
- **Environmental issues:** pressure to cut pollution and waste; can raise costs but also create demand
- **Fair trade:** guaranteed minimum price to producers; higher costs but can support a premium price
- **Effect on a business:** depends on its products, customers and how much it borrows